KLAC

KLA Corporation

皮褸黃 Capital · Investment Research Summary for the Owner

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from the AI department reports

CEO VERDICT: VETOED ON PRICE ONLY — STRONGEST CANDIDATE

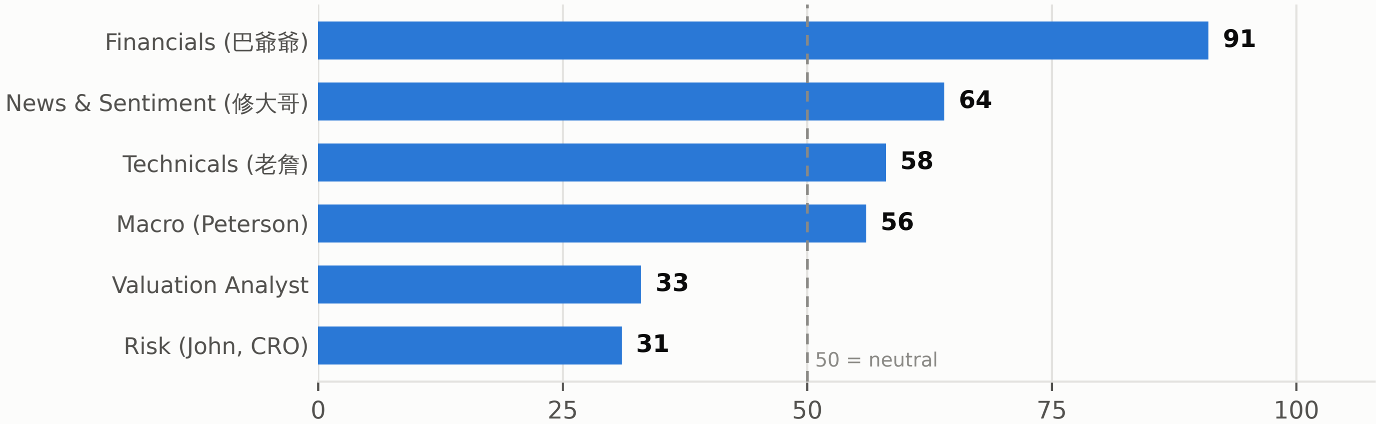
Price (17 Jul 2026)	Fall from high	Firm's fair value	Price vs fair value
$212.75	**−30%**	**$95–160**	**+124% over**

WHAT THE AI DEPARTMENTS CONCLUDED, IN ONE SENTENCE

The best business the firm has analysed — a genuine wide-moat monopoly. The only thing wrong with it is the price.

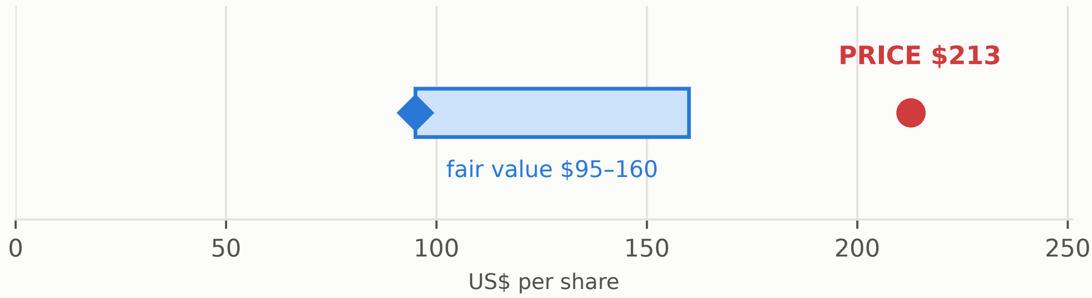
DEPARTMENT SCORECARD

Each AI department scored the idea out of 100. Lower = worse for buying at today's price.



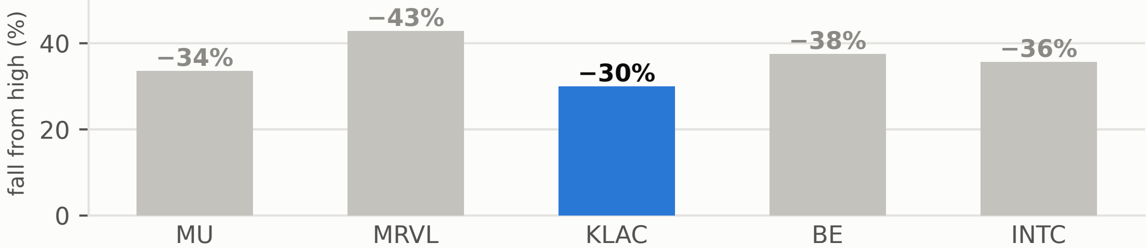
THE PRICE GAP

Blue band = what the firm thinks it is worth. Red dot = what it costs today.



HOW FAR IT HAS FALLEN

KLAC highlighted in blue; the other names in the batch shown for context.



Research and decision support only — NOT financial advice. Nothing is executed unless the Owner places the trade.

THE CASE FOR — what the agents found genuinely good

- The ONLY name in the batch with a WIDE and WIDENING moat: ~56–63% of process control, over 85% of optical inspection, and still gaining share.
- Returns are extraordinary and durable: ~43% average ROIC, and still ~25% at the WORST point of the cycle — about 2x its cost of capital in its worst year.
- Highest financial score in the firm's coverage: 91/100, grade A. Interest covered 15–18x; 'effectively bulletproof'.
- 17 consecutive annual dividend increases; $7B buyback on top of an existing $5B programme.
- Held up far better in the July selloff (−18 to −30%) than Micron (−33%) or Marvell (−43%) — real relative strength.
- Twin secular drivers: AI leading-edge inspection plus advanced packaging revenue up ~57% to ~$1B.

THE CASE AGAINST — why the firm is not buying

- At ~42x forward and ~61x trailing earnings, it trades at roughly TWICE its own historical multiple of ~22x.
- Fair value $95–160 against a $212.75 price — the 30% fall is off a bubble peak, not into value.
- The CRO's warning: a wide moat protects the business, not the multiple. A de-rate to its historic multiple is ~40% even if KLA executes perfectly.
- Equipment is DIRECTLY export-controlled — regulation is a net headwind here, unlike for a fab owner.
- Earnings on 28 July with a ±8% implied move, and no succession plan for a 65-year-old CEO of 20 years.

WHAT WOULD CHANGE THE ANSWER — the tripwires to watch

- PRIMARY ALERT: ~$130 — first watch level for a starter position.
- SIZE-UP ALERT: ~$95–105 — the firm's base fair value.
- The 28 July earnings and 29 July Fed meeting could deliver a better entry.
- A Chinese domestic inspection tool qualified at an advanced node would end the moat story.

RISK OFFICER'S RULING (John, CRO — holds veto power)
VETOED on valuation alone — quality and timing both acceptable

QUALITY CONTROL — what the AI Auditor caught (Ai 管理層)
The audit FAILED the valuation for bias — it had mislabelled the forward multiple, used an EPS 20% below consensus, and got the peer comparison backwards after three straight bearish verdicts. Corrected: score rose 22 → 33, fair value gap narrowed from −188% to −126%. The conclusion survived on honest numbers.